

Guesstimate 01: NovaTel's 5G Market Opportunity

Domain: Sales and Marketing

Problem Statement

NovaTel Communications is planning to launch a premium 5G plan in Pune. Before investing in a large marketing campaign, the management wants to estimate the potential market.

Question

Estimate the number of customers in Pune who would subscribe to a premium 5G plan within the first year.

Concepts Tested

- Market Sizing
- Segmentation
- Consumer Behaviour
- Adoption Rates
- Assumption Building

How many customers will subscribe to NovaTel's premium 5G plan in Pune during the first year?

First, let's estimate the population of Pune. Assume Pune has around 8 million residents.

Assume that about 70% are adults who make their own telecom purchasing decisions. This gives roughly 5.6 million adults.

Not everyone owns a smartphone. Assume smartphone penetration is about 85%, resulting in approximately 4.8 million smartphone users.

Since the plan is a premium 5G plan, only users with 5G-capable devices are relevant. Assume 45% own compatible phones, giving around 2.2 million users.

Premium plans generally appeal to higher-income or heavy-data users. Assume 30% belong to this segment, leaving about 660,000 potential customers.

NovaTel will face competition from existing telecom operators. Assume it captures 25% of this premium segment during its launch year, giving roughly 165,000 customers.

Not everyone will adopt immediately. Assuming a first-year adoption rate of 35%, the estimated subscribers become approximately 58,000.

Therefore, we estimate that NovaTel could acquire around 60,000 premium 5G subscribers in Pune during its first year.